



TCS — Quick Take

Fundamental Research Snapshot · Tata Consultancy Services Ltd

NSE: TCS · BSE: 532540

Sector: IT Services

CMP ₹1,983

Data sourced from Screener.in · Educational purposes only · Not investment advice

Company Overview

TCS is India's largest IT services company, part of the Tata Group, providing consulting-led, cognitive-powered technology and business transformation solutions to global clients across BFSI, Consumer, Life Sciences, Manufacturing, and other verticals. BFSI is the largest vertical at ~32% of revenue (Q3 FY26).

Key Metrics

CMP

₹1,983

Screener.in, 01 Jul 2026 close

MARKET CAP

₹7,16,423 Cr

Screener.in

P/E RATIO

13.7

Cheap vs history

Screener.in

D/E RATIO

~0.10

Safe

Calculated from Balance Sheet

ROE

51.8%

Good

Screener.in

ROCE

63.0%

Good

Screener.in

Valuation verdict: P/E of 13.7 is well below TCS's historical range (IT majors have typically traded 20-30x) — this reflects a sharp de-rating rather than a stock that has always been "cheap." **Growth trend:** Slowing — 5Y sales CAGR is 10%, but TTM growth has dropped to just 5%; the stock price itself is down -42% over 1 year and -16% over 3 years, reflecting market concern about IT services growth. (Source: Screener.in)

3 Strengths

✓ Exceptional capital efficiency — ROE 51.8%, ROCE 63.0%

✓ Near-zero debt with very high interest coverage (~59x operating profit to interest)

✓ Strong, growing free cash flow — ₹48,013 Cr (FY26), up from ₹41,688 Cr (FY24) — supporting a high dividend payout (77-94%) and 3.23% yield

2 Watch-Points

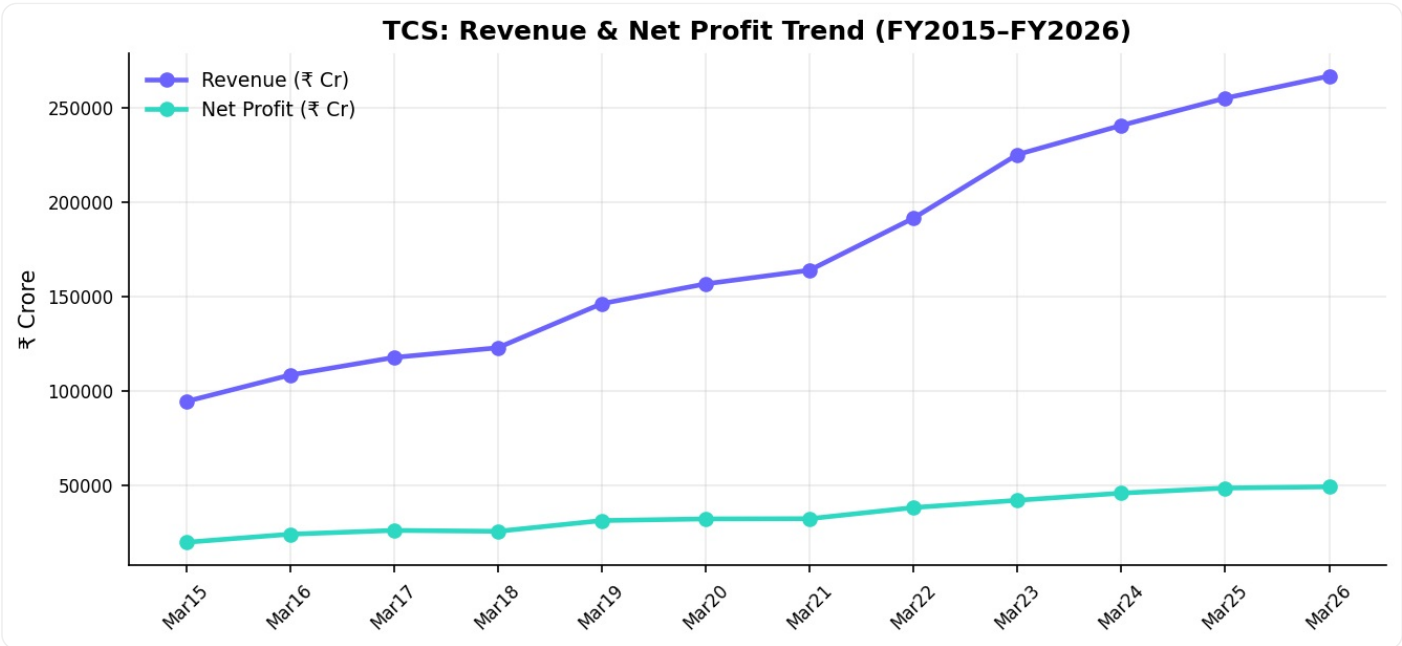
△ Revenue growth has decelerated sharply — 10% 5Y average down to 5% TTM

△ FII holding declined from 12.7% (Mar'24) to 9.66% (Mar'26), though DIIs have largely offset this (10.6% → 13.3%)

Fundamental Quality: Strong

Exceptional profitability and balance sheet strength; growth deceleration is the key monitorable going forward

Revenue & Profit Trend (FY2015-FY2026)



Note: This is a real fundamentals trend chart (Screener.in data). A genuine daily price chart wasn't available through current tools — check Tickertape or Screener.in directly for live price charts.

Disclaimer: This is a view of the fundamentals for educational purposes only. It is not investment advice and not a buy/sell/hold recommendation. All figures sourced from Screener.in as of the fetch date — verify independently before relying on them, as prices and ratios change daily. The final decision is yours.